

when it comes to rebuilding your banking history. When researching second-chance banks and credit unions, look for accounts with low or no monthly fees; no minimum balance requirements; few limits on daily or monthly transactions; and free services such as debit card access, online bill pay, and unlimited check writing. Some national banks that offer second-chance checking accounts include Chime, Wells Fargo, Green Dot Bank, and LendingClub. Credit Unions are also great options, such as Point West Credit Union in Oregon, which has a “Fresh Start Checking” option.⁵³

Checking Accounts

The Different Types of Checking Accounts:⁵⁴

Basic Checking: This is for people who use a checking account to pay certain bills and a debit card to pay daily expenses. Some basic accounts require direct deposit or a minimum balance to avoid monthly "maintenance" fees. You may be limited to a certain number of checks per month. If you exceed that number, you'll pay a "per item" fee for each additional check you write. You don't want to maintain a high balance in these accounts because you won't be paid interest.

Free checking: For most people, this is the best checking account. Free checking accounts mean that regardless of your balance or activity, you will not be charged any monthly service or per-item fees. In other words, you may write all the checks you like, or keep your balance as low as you like, without worrying about paying a fee. Free checking doesn't mean you won't have to pay any fees ever – for example, if you bounce a check, you'll have to pay a nonsufficient funds fee.

Interest-bearing: These accounts usually require a minimum balance to open, and you may need to maintain an even higher balance to avoid fees. For example, a bank may require \$100 to open an account, but will charge \$10 in service fees each month if you don't maintain a \$1,500 balance. Interest usually is paid monthly. However, these accounts pay a very low interest rate so for most people, it's simply not worth maintaining the high required balance.

Joint Checking: An account owned by two or more people (usually people who share a household and expenses). Each co-owner has equal access to the account. Most types of accounts, whether it's basic checking, savings, or money market, allow for joint use. Good

⁵³ Spencer Tierney & Chanelle Bessette “Second Chance Checking Accounts Across the U.S.” *NerdWallet* Aug. 13, 2020. <https://www.nerdwallet.com/article/banking/second-chance-checking>

⁵⁴ Karren Bennett. “10 Types of Checking Accounts.” *Bankrate* September 14, 2021. <http://www.bankrate.com/finance/checking/types-of-checking-accounts-2.aspx>

bookkeeping is essential with all checking accounts, but especially so with joint accounts. An overdrawn account usually results in steep fees for insufficient funds.

Express: Designed for people who prefer to bank by ATM, telephone, or personal computer, these accounts usually include unlimited check writing, low minimum balance requirements, and low or no monthly fees. The catch is you pay a fee for using a teller. You might get one or two free teller visits per month and then have to pay a fee for subsequent visits. These accounts are especially popular with students and people on the go who don't want to spend a lot of time on banking transactions.

Lifeline: These are "no-frills" accounts meant for people with low incomes. These accounts usually have monthly fees ranging from \$0-\$6; require a low, if any, minimum deposit and balance; and allow the user to write a certain number of checks per month. Lifeline accounts are required by law in Illinois, Massachusetts, Minnesota, New Jersey, New York, Rhode Island, and Vermont. In those states, minimum terms, fees and conditions are set by law, not by individual banks.

Senior/Student Checking: Many institutions offer special checking deals if you are a student or if you're 55 or older. The perks vary from bank to bank, but may include free checks, cashiers and traveler's checks, free ATM use, better rates on loans and credit cards, or discounts on things such as travel and prescriptions.

Money Market: These accounts combine checking with savings and/or investment opportunities to help you pursue higher earnings. It requires a very high minimum deposit to open (usually \$1,000 to \$10,000) and higher balances to avoid fees, and imposes tighter limits on checking transactions than other accounts. These accounts pay more interest than basic checking or savings accounts. This account is for people who can afford to maintain a high balance and do not write more than three to five checks each month.